Absorbing Transition DID Results: AKM Restatement Bad — Upgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		0.028		0.069***		-0.007
		(0.023)		(0.020)		(0.019)
× Voluntary Rotation		0.056***		0.061***		0.013**
		(0.008)		(0.006)		(0.006)
Pooled	0.053***		0.057***		0.013***	
	(0.006)		(0.005)		(0.005)	
Mandatory − Voluntary		-0.028		0.008		-0.021
Difference p-value		0.248		0.704		0.309
Observations	43,455	37,541	43,455	37,541	43,455	37,541
Firms	5,258	4,947	5,258	4,947	5,258	4,947
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		0.021		0.063**		-0.016
		(0.035)		(0.025)		(0.026)
× Voluntary Rotation		0.096***		0.114***		0.021*
		(0.016)		(0.013)		(0.011)
Pooled	0.086***		0.105***		0.017	
	(0.014)		(0.012)		(0.010)	
Mandatory − Voluntary		-0.075**		-0.051*		-0.036
Difference p-value		0.050		0.072		0.203
Observations	27,285	25,427	27,285	25,427	27,285	25,427
Firms	3,123	3,095	3,123	3,095	3,123	3,095
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.042**		0.050***		0.018
		(0.020)		(0.016)		(0.017)
× Voluntary Rotation		0.036***		0.042***		0.010**
		(0.006)		(0.004)		(0.005)
Pooled	0.036***		0.038***		0.012***	
	(0.004)		(0.003)		(0.004)	
Mandatory − Voluntary		0.006		0.008		0.007
Difference p-value		0.756		0.636		0.679
Observations	47,390	41,022	47,390	41,022	47,390	41,022
Firms	5,521	5,255	5,521	5,255	5,521	5,255
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.053**		0.065***		0.022
		(0.021)		(0.018)		(0.018)
× Voluntary Rotation		0.042***		0.047***		0.012**
		(0.006)		(0.004)		(0.005)
Pooled	0.040***		0.043***		0.012***	
	(0.004)		(0.003)		(0.004)	
Mandatory − Voluntary		0.011		0.018		0.011
Difference p-value		0.617		0.346		0.553
Observations	49,311	42,844	49,311	42,844	49,311	42,844
Firms	5,521	5,302	5,521	5,302	5,521	5,302
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.